I. Introduction to Electronic Markets

Electronic Market (E-Market):

An online place where buyers and sellers meet, exchange information, negotiate prices and complete transactions through the Internet, without being physically present.

Meaning and Features

- Works like a traditional market, but the market place is a website or app.
- Buyers and sellers can be individuals, firms or governments.
- Open 24 x 7 and reaches customers anywhere.
- Prices are transparent; comparison is easy.
- Fewer intermediaries → lower cost (disintermediation).
- Some new intermediaries appear (marketplaces, payment gateways) - called re-intermediation.

Functions of an Electronic Market

- **Matching:** brings buyers and sellers together.
- **Information:** product details, price, availability.
- **Transaction support:** order, payment, delivery tracking.
- **Trust & legal framework:** ratings, escrow, dispute resolution.

Electronic Market vs Traditional Market

Basis	Traditional Market	Electronic Market
Place	Physical location	Website / mobile app
Time	Fixed shop hours	24 x 7
Reach	Local	National / global
Cost	High rent & staff	Low overhead
Price comparison	Difficult	Instant
Payment	Cash mostly	Cards, UPI, wallets

★ Types of e-markets covered here: E-Shop, E-Mall, E-Grocery and Portals.

2. E-Shops

E-Shop:

A website through which a single company or retailer markets and sells its own products or services directly to customers online. (Also called online store, web shop.)

- Run by ONE business - the brand sells its own goods.
- Has its own domain name, catalogue, shopping cart and payment gateway.
- Examples: Titan.co.in, Nike.com, Apple Store online, Tanishq.

Features of an E-Shop

- Product catalogue with photos, price, description.
- Shopping cart and wish-list.
- Secure checkout and multiple payment options.
- Customer account, order history, tracking.
- Offers, coupons and email newsletters.
- Support through chat, phone, FAQ.

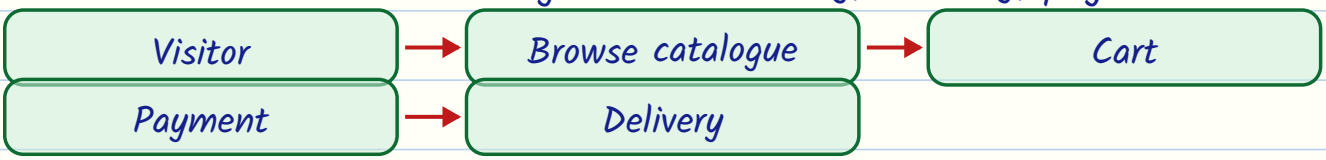
Advantages of E-Shops

- Direct contact with customers - no middlemen commission.
- Full control over brand, price and design.
- Customer data is owned by the seller.
- Low cost compared to opening a physical shop.

Disadvantages

- Seller must create traffic through marketing and SEO.
- Customers may not trust a new unknown shop.

- Needs own technical management - hosting, security, payments.



3. E-Malls

E-Mall:

An online shopping centre / marketplace that hosts many independent e-shops under one web address, offering a wide range of products from different sellers.

- Like a shopping mall, but virtual: one site → many shops.
- Mall owner provides platform, traffic, common payment system and delivery support; earns commission or listing fee.
- Examples: Amazon, Flipkart, Myntra, Snapdeal, Meesho.

Types of E-Malls

- **Referral mall:** only gives links to individual shops; each shop does its own selling.
- **Managed mall:** mall owner handles payment, order, delivery for all shops.

Features of E-Malls

- Many categories of products in one place.
- Common shopping cart and single payment.
- Search, filters, ratings and reviews.
- Seller dashboard to manage listings and orders.
- Offers like festival sales and bank discounts.

E-Shop vs E-Mall

Basis	E-Shop	E-Mall
Sellers	Only one	Many independent sellers
Products	Own brand products	Variety of brands / categories
Owner	Seller owns site	Mall operator owns platform
Traffic	Seller must attract	Mall brings ready traffic
Revenue	Product sales	Commission, ads, fees
Example	Nike.com	Amazon, Flipkart

Advantages of E-Malls

- One-stop shopping; easy comparison.
- Small sellers get instant reach and trust of mall brand.
- Shared infrastructure reduces cost.

Disadvantages

- Heavy competition among sellers; commission cuts profit.
- Seller depends on mall policies.

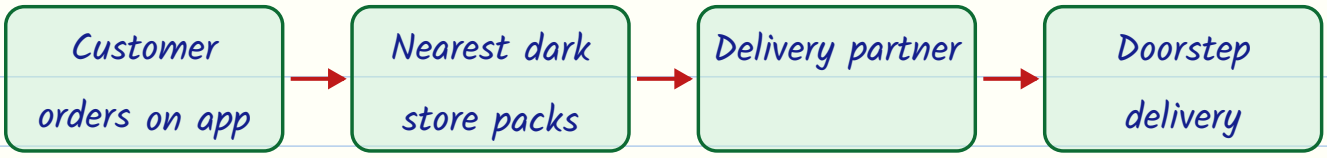
4. E-Groceries

E-Grocery:

Online buying of food and household items such as vegetables, fruits, dairy, staples and FMCG, delivered to the customer's home or collected from a store.

- Examples in India: BigBasket, Blinkit, Zepto, Swiggy Instamart, JioMart, Amazon Fresh, DMart Ready.

Working Model



Features

- Large product list with fresh and packed items.
- Slot-based, same-day or 10 - 15 minute quick delivery.
- Subscription for milk and daily needs.
- Cash on delivery or digital payment.
- Easy re-order list and offers.

Advantages

- Saves travel and queue time; helpful for senior citizens.
- Price and brand comparison; discounts.
- Reduces wastage through demand planning.

Challenges

- Fresh produce quality and freshness.
- Cold chain, packaging and last-mile delivery cost.
- Low margins and high competition.
- Returns of perishable goods.

5. Portals

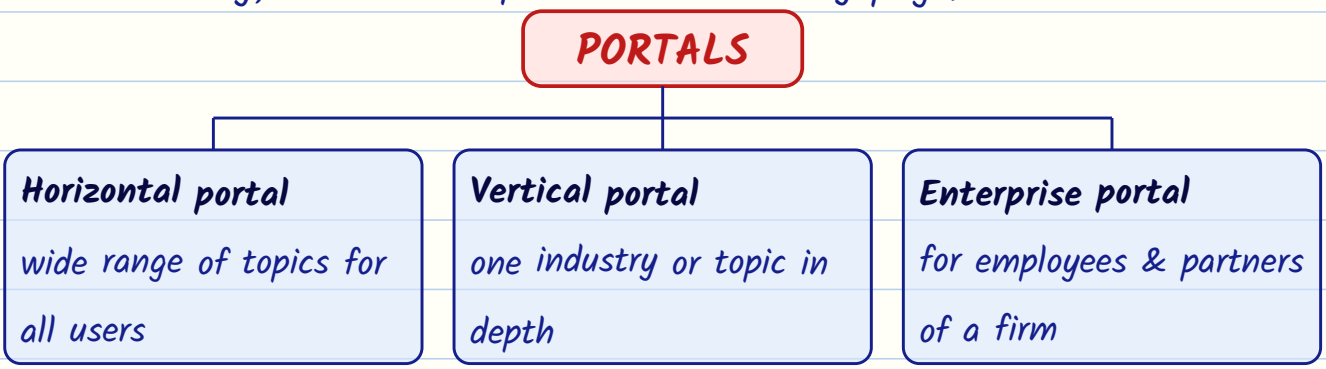
Portal:

A web site that acts as a gateway or starting point to the Internet and offers a wide range of services - search, news, email, shopping, entertainment - in one place.

- Examples: Yahoo, MSN, Rediff, AOL, Naukri, MakeMyTrip, Indiatimes.

Common Services of a Portal

- Search engine and directory.
- News, weather, sports.
- Email and chat.
- Online shopping, classifieds.
- Finance, jobs, matrimony, travel.
- Community, forums and personalisation (My page).



Horizontal Portal (Broad Portal)

Horizontal Portal:
Offers a broad range of content and services on many topics for a general audience - a "mass-market gateway".

- Examples: Yahoo, MSN, Google homepage, Rediff, AOL.
- Services: search, news, mail, shopping, entertainment, finance.
- Revenue: advertising, sponsorship, premium services.

Vertical Portal (Vortal)

Vertical Portal:
Focuses on ONE particular industry, subject or interest and provides deep, specialised information and services to a niche audience.

- Examples: Naukri (jobs), Shaadi.com (matrimony), MakeMyTrip (travel), PolicyBazaar (insurance), Agriwatch (agriculture), IndiaMart (B2B trade).

- Revenue: subscriptions, listing fees, commissions, targeted ads.

Horizontal Portal vs Vertical Portal

Basis	Horizontal Portal	Vertical Portal
Scope	Wide - many subjects	Narrow - one industry / topic
Audience	General public	Specific niche audience
Depth	Shallow info	Detailed expert info
Examples	Yahoo, MSN, Rediff	Naukri, PolicyBazaar
Advertising	General ads	Highly targeted ads
Traffic	Very high	Smaller but loyal
Competition	Search giants, large portals	Few niche competitors

Advantages of Portals

- Single entry point - saves time for users.
- Personalisation of content and services.
- Large audience attracts advertisers (revenue).
- Integration of many services (mail, news, shopping).
- Community building and customer loyalty.
- Vertical portals build expertise and trust in a niche.

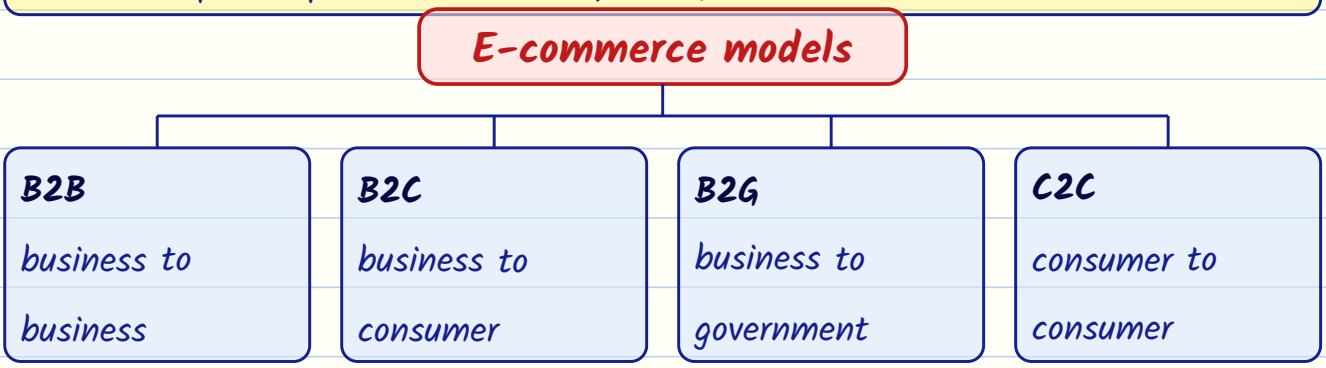
Limitations

- Information overload; slow pages.
- Dependence on ads; privacy concerns.

6. Business Models in E-Commerce

Business Model:

The method by which a company creates value, delivers it to customers and earns revenue / profit. In e-commerce it also answers who the participants are (B2B, B2C, B2G ...).



Revenue Sources in E-Business Models

- Sales of products / services.
- Commission or transaction fee.
- Advertising and sponsorship.
- Subscription and membership fees.
- Listing / registration fee.
- Data / affiliate marketing income.

7. Business to Business (B2B)

B2B:

Electronic commerce in which one business sells goods or services to another business - raw materials, components, machinery, services - mostly in bulk.

- Largest part of e-commerce by value.
- Buyers are professional; decisions on price, quality, credit terms.
- Examples: IndiaMart, Alibaba, TradeIndia, Udaan, Ariba, GeM (for govt. buyers).

Features

- Large order volume and high value.
- Long-term contracts and repeat orders.
- Negotiated, customised pricing; credit period.
- Integration with ERP, EDI and supply chain.

Types of B2B Models

- **Supplier-oriented:** one seller offers to many buyers (e.g. Dell for businesses).
- **Buyer-oriented:** one big buyer invites bids from many suppliers (e-procurement, e-tendering).
- **Intermediary-oriented:** third-party marketplace links many buyers & sellers (IndiaMart, Alibaba).



Advantages of B2B

- Lower procurement cost; wider supplier choice.
- Faster order cycle; less paperwork and errors.
- Better inventory control (just-in-time).
- Transparent pricing and tracking.

Disadvantages

- Setting up systems is costly; staff training needed.
- Trust and quality assurance with unknown suppliers.
- Security of business data.

B2B Portals in India

Portal	Focus

IndiaMART	Largest Indian B2B marketplace, SME suppliers
TradeIndia	Product listing for manufacturers & exporters
ExportersIndia	Export - import trade leads
Udaan	B2B trading for retailers (FMCG, apparel)
Ofbusiness	Raw material & credit for SMEs
GeM	Government e-Marketplace for public procurement
Moglix / Infra.Market	Industrial & construction supplies

- India also has ONDC (Open Network for Digital Commerce) as an open network for buyers and sellers.

8. Business to Consumer (B2C)

B2C:
A business sells products or services directly to individual end consumers over the Internet.

- Examples: Amazon, Flipkart, Myntra, Nykaa, Zomato, BookMyShow, Netflix.

Features

- Large number of small-value transactions.
- Mass marketing and ready-made catalogue prices.
- Quick payment by card / UPI / wallet.
- Emphasis on user experience, offers and delivery speed.

Types of B2C Models

- **Direct seller / e-shop:** manufacturer sells to consumer (Apple Store).

- **E-tailer / online retailer:** e.g. Amazon.
- **Service provider:** banking, tickets, OTT, education.
- **Content provider:** news, music, videos, e-books.
- **Community / social model:** Facebook, Instagram with ads.
- **Portal / intermediary:** MakeMyTrip, PolicyBazaar.

Advantages of B2C

- Direct reach to consumers; no middlemen.
- 24 x 7 selling; wide market; personalised offers.
- Customer feedback and data for improvement.

Disadvantages

- Intense competition and price wars.
- High delivery, returns and marketing cost.
- Need to build trust; fraud and payment risks.

B2B vs B2C

Basis	B2B	B2C
Customer	Business / organisation	Individual consumer
Order size	Bulk, high value	Small, single items
Decision	Rational, group-based	Emotional, quick
Relationship	Long-term contracts	Short-term / repeat
Price	Negotiated	Fixed listed price
Sales cycle	Long	Short
Examples	IndiaMART, Alibaba	Amazon, Myntra

9. Business to Government (B2G)

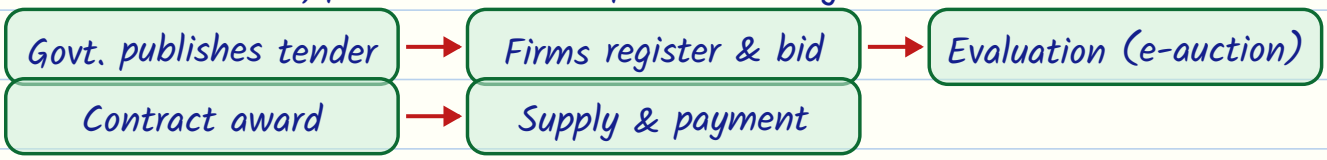
B2G:

Business-to-Government e-commerce in which companies sell goods and services to government departments and public-sector bodies through online platforms - e-tendering, e-procurement, e-filing.

- Government is the BUYER; business is the SELLER / service provider.
- Examples: GeM (gem.gov.in), CPPP e-tender portal, state e-procurement, MCA21 filing, GST portal, Income Tax e-filing, Customs ICEGATE.

Activities in B2G

- Online tender notice, bid submission and e-auction.
- Vendor registration and verification.
- Digital signature for bids; e-payment of tax and fees.
- Online licence, permit and compliance filing.



Advantages

- Transparency, less corruption and favouritism.
- Faster, cheaper procurement; open to small firms (MSME, start-ups).
- Less paperwork; audit trail is automatic.

Challenges

- Complex rules and documentation; digital-signature need.
- Security of confidential bids; technical skills of vendors.

★ G2B and G2C are the reverse: government giving services to businesses and citizens (e-governance).

10. Auctions

Online Auction:

A process of buying and selling goods through bidding on the Internet; the item goes to the highest bidder (or lowest in reverse auction) within a fixed time.

- Examples: eBay, Quikr (bidding), GeM reverse auction, MSTC e-auction, bank-property auctions, Bidgela.

Types of Auctions

- **English auction (forward):** price starts low and rises; highest bid wins.
- **Dutch auction:** price starts high and falls until a buyer accepts.
- **Sealed-bid (first-price):** bids are secret; highest bid wins.
- **Vickrey (second-price):** highest bidder wins but pays the second-highest price.
- **Reverse auction:** many sellers compete; lowest price wins (used in B2B / B2G procurement).
- **Double auction:** buyers and sellers both bid - stock exchanges.



Advantages of Online Auctions

- Real market price discovery; wide bidder base.
- Fast sale of surplus or rare items.
- Lower cost for buyers in reverse auctions.
- Open and transparent.

Disadvantages

- Fraud, shill (fake) bidding, non-payment.
- Winner's curse - overpaying.
- Needs trust, escrow and rules.

Revenue of Auction Sites

- Listing fee, final value commission, advertising, payment service charges.

II. Quick Revision - Unit II

- E-shop = single seller; E-mall = many shops under one roof; E-grocery = online food and daily needs.
- Portal = gateway site. Horizontal = broad topics; Vertical = niche industry.
- B2B = firm to firm; B2C = firm to consumer; B2G = firm to government.
- Auction types: English, Dutch, sealed-bid, Vickrey, reverse, double.
- B2B portals in India: IndiaMART, TradeIndia, Udaan, ExportersIndia, GeM, Ofbusiness.

Likely Exam Questions

- Distinguish between e-shop and e-mall.
- Compare horizontal and vertical portals; advantages of portals.
- Explain B2B, B2C and B2G business models with examples.
- Explain types of online auctions.
- Write about B2B portals in India.